PaddleCo O2C Process Library

Nov 4, 2026 · @Varni

Executive summary

Wholesale orders take **4.8 days** on average from receipt to shipment against a 3-day target, and only **30%** ship on time. Over six months (Apr–Sep 2026) the process cost an estimated **$200K**: $187K in retailer chargebacks and $13K in manual entry and rework labor. Modeled fixes cut cycle time to **2.3 days** and that cost by about **81%**.

All data is synthetic (2,000 simulated orders with planted problems); the analysis, formulas and modeled future state are in the workbook *PaddleCo_O2C_Analysis.xlsx*.

Finding	Evidence (current state)	Fix	Modeled result
Order entry is the biggest delay	Email PDF POs (70% of orders) wait 2.3 days for entry incl. rework; 7.8% have entry errors	PO capture tool + validation rules against price list and ship-to master	Entry delay 1.6 → 0.16 days; error rate 2.1%
Allocation stalls when stock is short	Short-stock orders wait 3.4 days vs 0.3 for in-stock	Written prioritization decision tree; FIFO with reservations in NetSuite	Allocation 1.05 → 0.26 days
Credit holds wait on one person	24% of specialty orders held; 26 hours average; 51% over a day	SuiteFlow approval workflow with backup approver and auto-release under a limit	26 → 3.4 hours
Routing and ASN timing drive 95% of chargebacks	Late routing $124K (66%); ASN accuracy $54K (29%)	Saved-search alert on routing deadlines; send ASN only after 3PL carton confirmation	Chargebacks 1.0% → 0.18% of revenue

Finding	Evidence (current state)	Fix	Modeled result
Invoices lag on split shipments	1.6 days average lag	Auto-invoice on item fulfillment	0.3 days
Weekly ATS spreadsheet oversells DTC	3.6% of DTC orders cancelled; 8.5% in launch weeks	ATS feed every 15 minutes, with launch reservations	0.5%

Three KPIs still sit just short of target in the model (entry errors 2.1% vs 2.0%, OTIF 94.6% vs 95%, DTC oversells 0.51% vs 0.5%). That is the gap the first month of reinforcement and SOP audits has to close.

What's in this library

The tabs follow the order of a real engagement: discover, map, analyze, redesign, document, roll out.

- `1 Discovery` — SIPOC, stakeholder map, interview guide, workshop agenda, synthesized findings
- `2 Current state` — swimlane map, step inventory, RACI, root causes, impact-vs-effort prioritization
- `3 Future state` — future-state flow, order prioritization decision tree, allocation and ATS spec, automation backlog
- `4 SOPs` — library index and six SOPs in one template
- `5 Change toolkit` — change plan, launch email, FAQ, training agenda, quick reference guide, resistance plan

Scenario: PaddleCo is a fictional paddle-sports brand (~400 SKUs) selling wholesale to 3 big-box retailers on EDI and ~150 specialty shops that email PDF POs, plus DTC and one marketplace. Systems: NetSuite ERP, a 3PL warehouse, an EDI provider, Shopify, and spreadsheets.

Discovery pack

SIPOC: wholesale order-to-cash

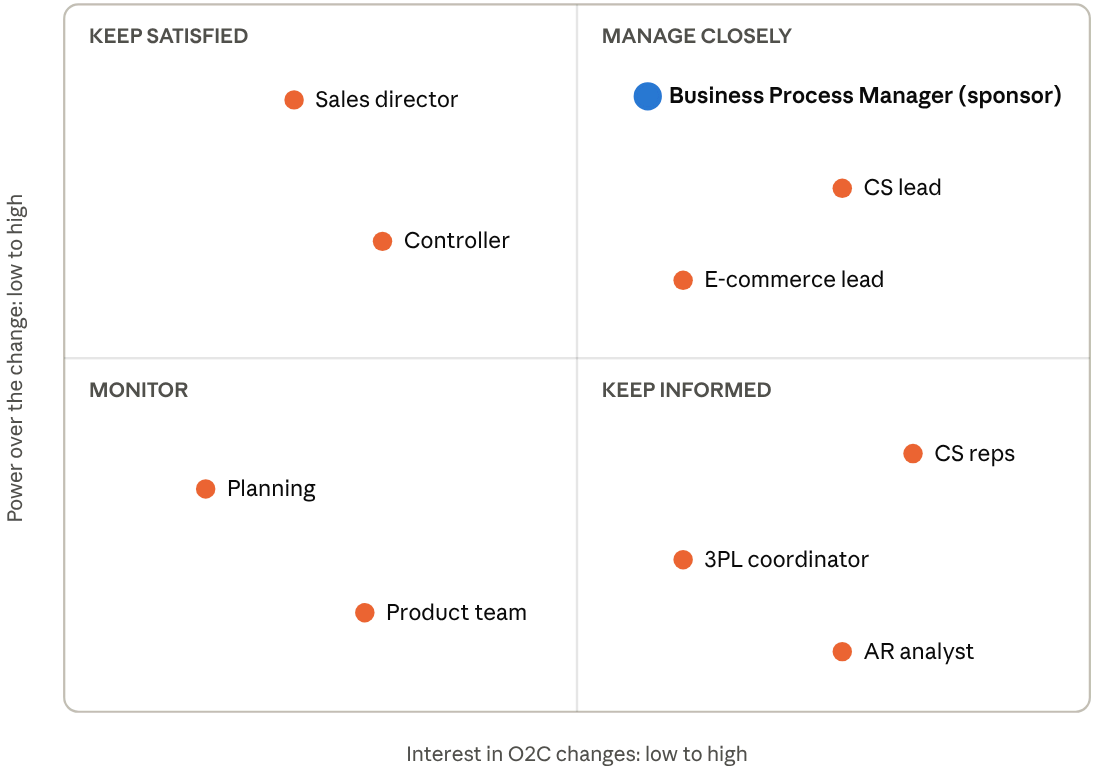
Scope runs from a customer PO arriving to the invoice being sent; cash collection and dispute handling are out of scope for this phase.

Suppliers	Inputs	Process (high level)	Outputs	Customers
Big-box retailers (EDI)	EDI 850 purchase orders	1. Receive PO	Sales order in NetSuite	Big-box retailers
Specialty shops	Emailed PDF POs	2. Enter and validate order	Order acknowledgment (EDI 855 / email)	Specialty shops
Sales reps	Price lists, promos, account terms	3. Credit check and release	Allocated, released order	Finance (AR)
Finance (AR)	Credit limits, open balances	4. Allocate inventory	Pick ticket to 3PL	3PL warehouse
Planning	On-hand, inbound, reservations	5. Request routing (EDI accounts)	Shipment + tracking	Sales (visibility)
3PL warehouse	Pick/pack confirmations, carton counts	6. Pick, pack, ship	ASN (EDI 856)	Retailer receiving docks
EDI provider	Retailer routing guides, vendor compliance manuals	7. Send ASN	Invoice (EDI 810 / PDF)	Finance (AR)
		8. Invoice		

Stakeholder map

Manage the sponsor, CS and e-commerce closely; keep Sales satisfied

Stakeholder map for the O2C changes: power over the change vs interest in it



stakeholder map · power vs interest · 10 groups

CS reps and the AR analyst carry most of the change but don't decide it, so they get early demos and a voice in the SOPs. Sales can block allocation rules, so the prioritization tree is agreed with the Sales director before rollout.

Interview guide and workshop agenda

Interview guide (45 minutes, one person at a time)

Open by explaining the goal: "We're mapping how orders really flow so we can remove friction — this isn't a performance review." Ask for a recent real order to anchor the conversation.

1. Walk me through the last order you processed, from the moment it reached you.
2. Where does the work come from, and in what format?
3. What do you check before passing it on? What do you re-check, and why?

4. Where do you wait on someone else? Who, and for how long typically?
5. Which systems do you touch for one order? How many times do you switch screens?
6. What spreadsheets, notes or Slack threads do you keep outside NetSuite?
7. What goes wrong most often? What happens next when it does?
8. Which customers or order types are hardest, and what makes them hard?
9. How do you know an order is late? Who tells you?
10. If you could change one thing about this process tomorrow, what would it be?
11. What would worry you about changing it?
12. Who else should I talk to, and can I shadow you for an hour this week?

Shadowing checklist: time each step with a stopwatch, count screen switches, note every copy-paste, photograph sticky notes and cheat sheets (with permission), and record interruptions.

Current-state workshop (90 minutes)

Time	Activity	Output
0:00–0:10	Goal, ground rules ("describe the process, not the people"), scope from the SIPOC	Shared scope
0:10–0:45	Build the swimlane on a wall or Miro board: one sticky per step, one lane per team	Draft current-state map
0:45–1:00	Mark waits, hand-offs and rework loops with red stickies	Pain points on the map
1:00–1:15	Dot voting: each person gets 3 dots for the most painful steps	Ranked pain points
1:15–1:30	Agree what data would prove each top pain point; assign owners to pull it	Data request list and next steps

Invite one person per lane who does the work (not only managers), plus the Business Process Manager as sponsor.

Synthesized discovery findings

Interviews below are persona-based (written as if from the shadowing sessions); replace them with real notes if you run informational interviews. Every claim was then tested against the order data.

Team	What they told us	What the data showed
Customer Service	"I spend my mornings retyping PDFs. Specialty shops use their own forms, so every PO looks different."	Email POs are 70% of orders and wait 2.3 days for entry including rework
Customer Service	"When a price doesn't match, I email the rep and wait."	7.8% of email orders need correction vs 0.7% of EDI orders
Sales	"CS pings me on Slack all day asking who gets the last 50 paddles."	Short-stock orders wait 3.4 days to allocate vs 0.3 days in stock
Finance (AR)	"I check the credit-hold queue first thing and after lunch."	Holds average 26 hours; 51% take more than a day
3PL coordinator	"The retailer's routing portal closes before we know the final carton count."	Late routing is 66% of chargeback dollars ($124K)
3PL coordinator	"Sometimes the ASN goes out from NetSuite before we've confirmed cartons."	ASN-accuracy fines are 29% of chargebacks ($54K)
Finance (AR)	"Split shipments sit until someone notices the second box shipped."	Invoice lag averages 1.6 days
E-commerce	"Launch weeks are a mess — the site sells paddles we don't have."	8.5% of DTC orders cancelled in launch weeks vs ~1.2% otherwise

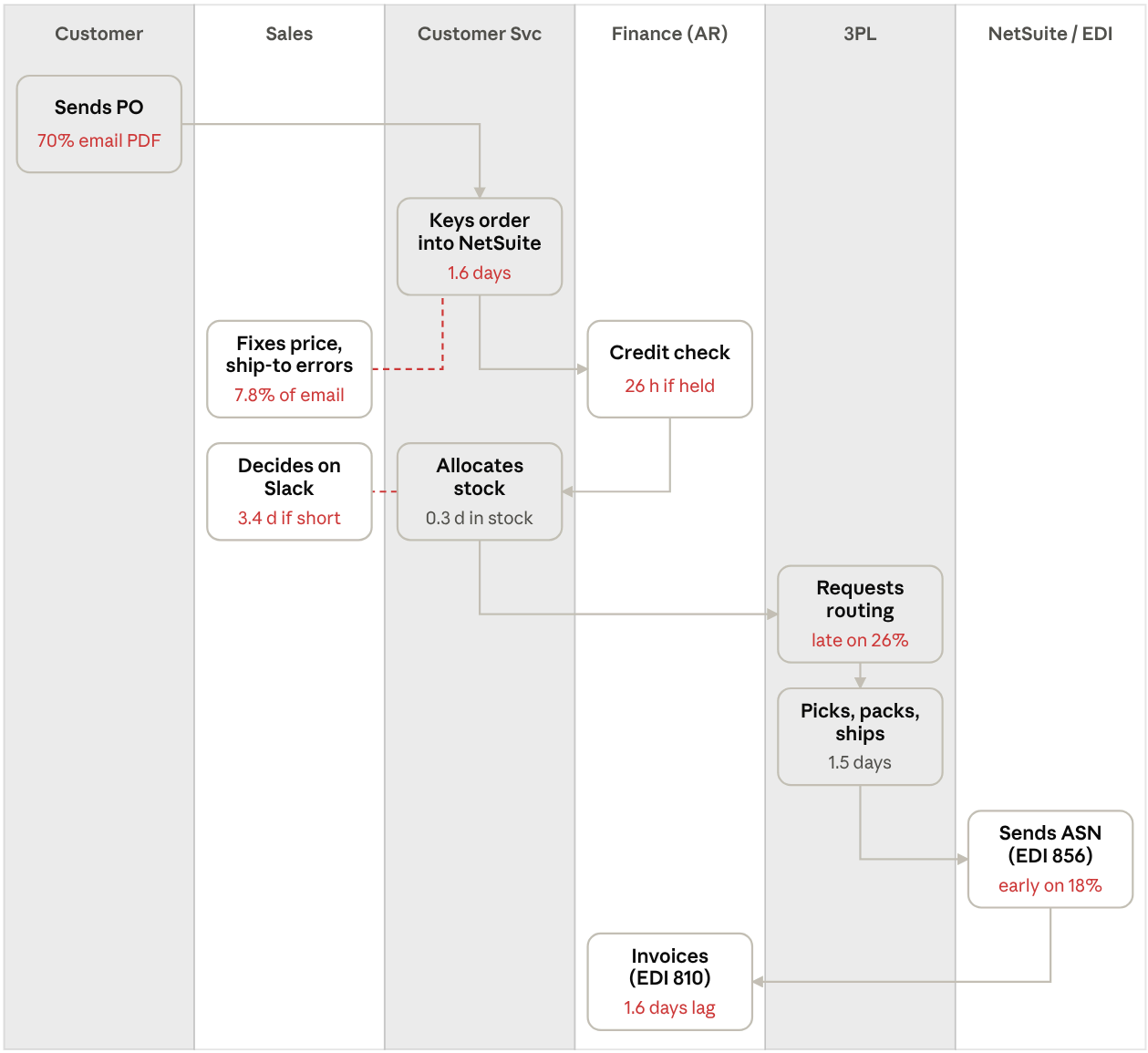
Insight: each team experiences its own symptom, but the root issue is the same — decisions that should be rules (price checks, allocation priority, credit release, ASN timing) are made by individual people in email and Slack.

Current state and analysis

Current-state swimlane

Waits and rework, not work, fill 3.3 of the 4.8 days

Current-state swimlane; red = delay or error measured in the order log



current-state swimlane · 6 lanes · 10 steps

Dashed red lines are side trips: entry errors go back to Sales, and short-stock orders wait for a decision on Slack. The order changes hands six times before it ships.

Step inventory

Of the 4.8 days an average order spends before shipping, only the 1.5 days at the 3PL are value-added; the other 3.3 days are waits, rework and approvals. Classification: **VA** = value-added (customer would pay for it), **RNVA** = required but not value-added, **W** = waste.

#	Step	Lane	Avg days	Class	Pain point
1	Receive PO (EDI 850 or email)	Customer → CS	—	RNVA	70% arrive as PDFs in a shared inbox
2	Key order into NetSuite	CS	1.60 incl. rework	W	Manual retyping, 12 min/order; price and ship-to errors
3	Fix entry errors with customer/rep	CS ↔ Sales	(in step 2)	W	7.8% of email orders; email back-and-forth
4	Credit check and release	Finance (AR)	0.18 (26 h for held orders)	RNVA	One approver, queue checked twice a day
5	Allocate inventory	CS ↔ Sales	1.05 (3.4 when short)	W when short	No rule; priority decided order by order on Slack
6	Request routing (EDI accounts)	3PL coordinator	0.50	RNVA	Requested after the retailer's window in 26% of EDI orders
7	Pick, pack, ship	3PL	1.49	VA	Not targeted
8	Send ASN (EDI 856)	NetSuite / EDI provider	same day	RNVA	Sent before carton confirmation on 18% of EDI orders
9	Invoice (EDI 810 / PDF)	Finance (AR)	1.6 after ship	RNVA	Split shipments (19% of orders) wait 4.4 days on average

Averages are from *Order_Log_Current*; the stage columns (d_entry … d_ship) sum to the 4.8-day cycle time.

RACI: who does what today

Two activities have no clear Accountable owner today (allocation when short, routing deadlines), which is exactly where the delays sit. **R** = Responsible, **A** = Accountable, **C** = Consulted, **I** = Informed.

Activity	CS rep	CS lead	Sales	Finance (AR)	3PL coord.	Planning
Enter and validate order	R	A	C			
Resolve price/ship-to errors	R	A	C			
Credit check and release	I	I	C	R/A		
Allocate when stock is short	R	?	C (decides in practice)			C
Reserve launch inventory	I		C			R/A
Request routing		I			R	?
Confirm cartons to NetSuite					R/A	
Send ASN	R (manual trigger)	A			C	
Invoice shipment				R/A	I	
Update ATS for DTC						R/A (weekly sheet)

The future-state RACI (in the SOPs) gives allocation to the CS lead via a written rule and routing to the 3PL coordinator with a system alert.

Root causes

The three costliest problems trace back to missing rules and missing system triggers, not to people working slowly.

Fishbone summary: "Wholesale orders ship late"

Category	Contributing causes found
Process	No allocation priority rule; routing requested only after allocation; ASN not gated on carton confirmation

Category	Contributing causes found
People	Single credit approver; tribal knowledge of retailer routing windows; CS decides allocation without authority
System	No PO capture for email; NetSuite workflow not used for credit release; invoice not triggered by fulfillment
Data	Price lists maintained in spreadsheets outside NetSuite; ship-to addresses duplicated; ATS refreshed weekly
Policy	Credit limits not tiered (every overage goes to a human); no reservation policy for launches
Partners	Specialty shops send free-form PDFs; retailer routing portals close 48–72 hours before pickup

5 Whys: late-routing chargebacks ($124K)

1. Why the chargeback? Pickup was missed because routing was requested late.
2. Why late? The 3PL coordinator requests routing after the order is allocated.
3. Why wait for allocation? Routing needs carton count and weight, which depend on what's allocated.
4. Why is allocation slow? Short-stock orders wait on Sales via Slack (3.4 days).
5. Why? No written prioritization rule exists. **Root cause:** allocation policy gap plus no alert on routing deadlines.

5 Whys: ASN-accuracy chargebacks ($54K)

1. Why the fine? ASN carton contents didn't match what arrived.
2. Why? The ASN was sent before the 3PL confirmed final cartons.
3. Why? CS triggers the ASN manually when NetSuite shows the order as shipped.
4. Why does NetSuite show shipped early? Item fulfillment is created from the pick ticket, not the pack confirmation.
5. **Root cause:** ASN triggered by the wrong event.

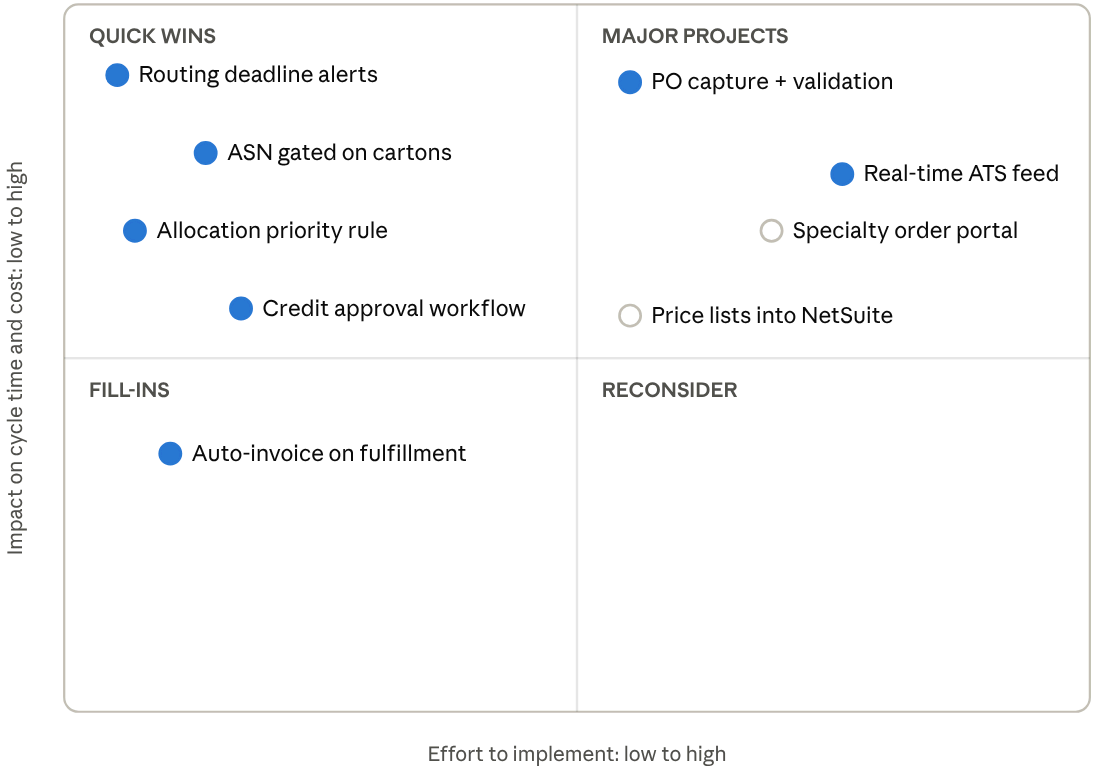
5 Whys: entry delay (1.6 days)

1. Why the delay? PDFs wait in the shared inbox until a rep keys them.
2. Why manual? No PO capture tool; each shop's PDF layout differs.
3. Why the rework? Prices and ship-tos are checked by eye against spreadsheets.
4. Why spreadsheets? Customer-specific price lists were never loaded into NetSuite.
5. **Root cause:** unstructured intake plus master data outside the ERP.

Prioritization: impact vs effort

Four quick wins and two bigger builds make up the plan

Improvement options by impact and effort; filled = in this plan, hollow = phase 2

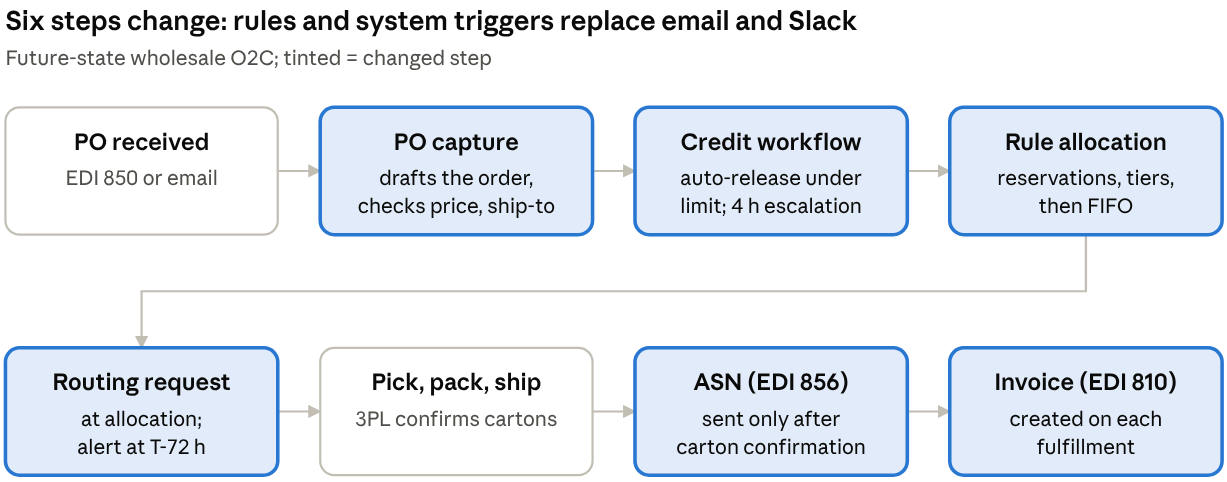


impact vs effort · 9 options

The four quick wins are rule and trigger changes inside NetSuite and can ship in weeks; they target 95% of chargeback dollars. PO capture and the ATS feed need a tool decision and IT time, and the order portal waits for phase 2 because PO capture solves most of the same problem sooner.

Future state and specifications

Future-state flow



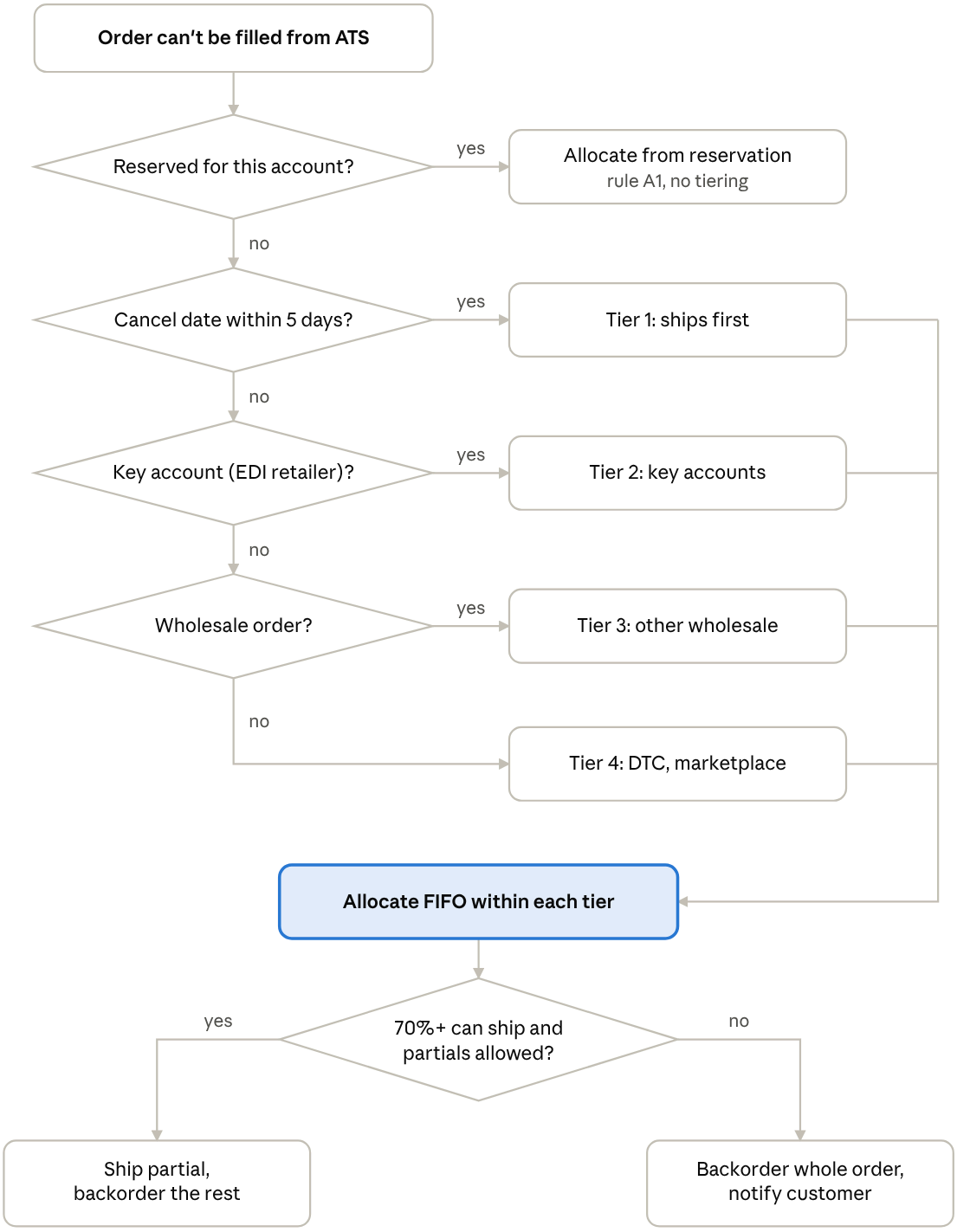
future-state O2C · 8 steps, 6 changed

No step now waits on a person checking an inbox or Slack; people handle only the exceptions the rules flag. Alongside this flow, a 15-minute ATS feed keeps the DTC site in step with allocations. Modeled cycle time: 2.3 days, with 89% of orders shipped within 3 days.

Order prioritization decision tree

Short-stock orders follow one rule instead of a Slack thread

Order prioritization decision tree, rules A1 to A6



order prioritization decision tree · 5 questions

The tree is evaluated in order: the first "yes" sets the tier. Only the CS lead can override a tier, and must log a reason code (rule A6).

Inventory allocation and ATS feed specification

Allocation becomes a written, system-applied rule: reservations first, then FIFO by order date within priority tiers; ATS is recalculated every 15 minutes for DTC. A working model of these rules is the *ATS_Allocation_Sim* sheet in the workbook.

Allocation rules

#	Rule	Detail
A1	Reservations are honored first	Units reserved for a named account or launch are allocated only to that account until the reservation's release date
A2	Priority tiers	Tier 1: orders with a cancel date within 5 days. Tier 2: key accounts (the three EDI retailers). Tier 3: all other wholesale. Tier 4: DTC and marketplace
A3	FIFO within a tier	Oldest order date first; ties broken by order number
A4	Partial shipments	Allowed only if the customer's account permits and at least 70% of the order can ship; otherwise backorder whole
A5	Reservation release	Unused reserved units return to ATS automatically at 5 p.m. on the release date
A6	Exceptions	Only the CS lead may override, with a reason code logged on the sales order

ATS calculation

```
ATS = \text{On hand} - \text{Allocated (open orders)} - \text{Reserved} -
\text{Safety stock} + \text{Inbound}_{\le 14\ \text{days}} \times \text{flag}
```

- **Safety stock** = 100 units per launch SKU, 5% of on-hand for core SKUs (example policy; Planning owns it)

- **Inbound flag** = 0 for DTC (never sell what hasn't arrived), 1 for wholesale quotes with a future ship date
- **Negative results** floor at 0

Feed design

Destination	Frequency	Method	Owner	Exception alert
DTC website (Shopify)	Every 15 minutes	NetSuite saved search → connector	E-commerce lead	ATS for a launch SKU drops below 50 units
Marketplace	Every 30 minutes	Connector or flat-file upload	E-commerce lead	Feed fails twice in a row
EDI retailers (EDI 846)	Daily, 6 a.m.	EDI provider	CS lead	Any SKU on a retailer's item list shows 0
Sales team view	Live	NetSuite dashboard portlet	Sales ops	—

Decision for the sponsor: confirm the priority tiers with the Sales director before go-live; this is the rule most likely to be challenged.

Automation backlog

Seven items, sequenced so the low-effort rule changes ship first and fund the case for the two larger builds. Modeled savings come from *Order_Log_Future* in the workbook.

#	Problem	Solution (NetSuite-style)	Effort	Owner	Modeled impact
1	Late routing requests	Saved search on EDI orders by retailer routing deadline; daily email alert to 3PL coordinator at T−72h; routing requested at allocation, not after	Low	3PL coordinator + NetSuite admin	Late routing 26% → ~6% of EDI orders

#	Problem	Solution (NetSuite-style)	Effort	Owner	Modeled impact
2	ASN sent early	Trigger EDI 856 only when the 3PL's pack confirmation updates item fulfillment status; block manual send	Low	NetSuite admin + EDI provider	ASN-accuracy fines $54K → $0
3	No allocation rule	Allocation rules A1–A6 configured (order priority field + FIFO); CS lead override with reason code	Low–medium	CS lead + Sales director	Short-stock wait 3.4 → 0.15 days
4	Credit holds wait on one person	SuiteFlow approval: auto-release under $2,500 overage for accounts current on payment; backup approver; 4-hour escalation	Low	Controller	26 → 3.4 hours
5	Late invoices on split shipments	Auto-create invoice on each item fulfillment (bill-as-shipped)	Low	Finance (AR)	Invoice lag 1.6 → 0.3 days
6	Email PDF POs keyed by hand	PO capture tool (OCR/AI extraction) creating draft sales orders; validation against customer price list and ship-to master	Medium	CS lead + IT	Entry 1.6 → 0.16 days; errors 7.8% → 2.1%; ~210 labor hours saved per 6 months
7	Weekly ATS spreadsheet	ATS saved search + 15-minute feed to Shopify, with launch reservations	Medium–high	E-commerce lead + IT	DTC oversells 3.6% → 0.5%
Phase 2	Specialty PO formats	B2B ordering portal for specialty shops	High	Sales ops	Removes email intake
Phase 2	Price data in spreadsheets	Load customer price lists into NetSuite	Medium	Finance + Sales ops	Fewer pricing errors at the source

The $2,500 auto-release threshold in item 4 is an illustrative policy to be set by the Controller.

Standard operating procedures

Library index

Six SOPs cover the future-state O2C flow; each has one owner and a quarterly review date. Every SOP uses the same template: Purpose, Scope, Roles, Trigger, Steps, Exceptions, Systems, KPIs, Revision history.

ID	SOP	Process owner	Linked artifact	Next review	Status
O2C-01	Wholesale order entry and validation	CS lead	Future-state flow; QRG	2027-02-01	Draft for review
O2C-02	Credit hold review and release	Controller	Credit workflow	2027-02-01	Draft for review
O2C-03	Order prioritization when stock is short	CS lead (rules agreed with Sales director)	Decision tree; allocation spec	2027-02-01	Draft for review
O2C-04	Routing request for EDI retailers	3PL coordinator	Routing alert saved search	2027-02-01	Draft for review
O2C-05	ASN and pre-ship compliance check	CS lead	Retailer compliance checklist	2027-02-01	Draft for review
O2C-06	Invoicing, including split shipments	Finance (AR)	Bill-as-shipped setting	2027-02-01	Draft for review

Review rule: an SOP is updated within 5 business days of any process or system change, and audited against a 10-order sample each quarter.

O2C-01 Wholesale order entry and validation

- **Purpose:** get every wholesale PO into NetSuite accurately within 4 business hours of receipt.
- **Scope:** EDI 850 and emailed PDF POs from wholesale accounts. Excludes DTC and marketplace orders.
- **Roles:** CS rep (R), CS lead (A), Sales rep (C on pricing exceptions).
- **Trigger:** PO arrives via EDI or in the orders@ inbox; the PO capture tool creates a draft sales order.

Steps

1. Open the *Draft orders — needs review* queue in NetSuite (sorted oldest first).
2. Compare the draft to the attached PO: customer, ship-to, items, quantities, requested ship and cancel dates.
3. Review validation flags. Price mismatch → go to Exception E1. Unknown ship-to → Exception E2. Inactive item → Exception E3.
4. Enter the customer PO number and cancel date if the tool missed them.
5. Approve the draft. NetSuite sends the acknowledgment (EDI 855 or email) automatically.
6. Confirm the order moved to *Pending credit review* or *Pending fulfillment*.

Exceptions

- **E1 price mismatch:** if the difference is under 2%, accept the customer price and note it; otherwise message the Sales rep using the *Price query* template and set status *On hold — pricing* (Sales replies within 1 business day).
- **E2 unknown ship-to:** add the address only after confirming it by email with the buyer; never overwrite an existing ship-to.
- **E3 inactive item:** suggest the replacement SKU from the item record; get buyer approval before substituting.
- **Systems:** NetSuite (sales orders, draft queue), PO capture tool, EDI provider.
- **KPIs:** entry within 4 business hours ≥ 95%; entry error rate ≤ 2%.
- **Revision history:** v0.9, 2026-11-04, drafted from future-state design.

O2C-02 Credit hold review and release

- **Purpose:** release or resolve every credit hold within 4 business hours.
- **Scope:** wholesale orders that exceed the account's credit limit or have invoices over 30 days past due.
- **Roles:** AR analyst (R), Controller (A), Sales rep (C).
- **Trigger:** NetSuite places the order on *Pending approval — credit* and the approval workflow notifies the AR queue.

Steps

1. Auto-release rule runs first: accounts current on payment with an overage under the policy threshold release automatically.

2. For the rest, open the order from the *Credit holds* dashboard (oldest first).
3. Check open balance, days past due, payment history (last 6 months) and the order value.
4. Approve, approve with conditions (e.g. prepay part), or reject with a reason code.
5. If waiting on a payment or customer response, set a follow-up task and notify the Sales rep.
6. Holds older than 4 hours escalate automatically to the backup approver.

- **Exceptions:** new accounts with no history go to the Controller; strategic accounts require Controller sign-off above 150% of limit.
- **Systems:** NetSuite SuiteFlow approval workflow, AR aging report.
- **KPIs:** average release time ⩽ 4 hours; holds over 24 hours = 0.
- **Revision history:** v0.9, 2026-11-04.

O2C-03 Order prioritization when stock is short

- **Purpose:** allocate scarce inventory by an agreed rule, not case by case.
- **Scope:** any wholesale, DTC or marketplace order that cannot be filled from ATS.
- **Roles:** NetSuite allocation rules (automatic), CS lead (A, overrides), Sales director (C, owns tier definitions), Planning (R, reservations).
- **Trigger:** order line shows *Backordered* or the allocation run leaves a shortage.

Steps

1. The allocation run applies the decision tree: reservation → tier → FIFO by order date.
2. CS reviews the *Shortage report* each morning at 9 a.m.
3. For each short order, apply the partial-shipment rule: ship partial if ⩾ 70% can ship and the account allows partials; otherwise backorder the whole order.
4. Notify affected customers with the *Backorder notice* template, including the expected date from inbound POs.
5. Log any override on the sales order with a reason code (CS lead only).

- **Exceptions:** a Sales request to jump the queue goes to the CS lead in writing; launches follow the reservation plan agreed with Planning.
- **Systems:** NetSuite order priority field, allocation saved search, shortage report.
- **KPIs:** short-stock allocation time ⩽ 1 day; overrides ⩽ 5% of short orders.
- **Revision history:** v0.9, 2026-11-04.

O2C-04 Routing request for EDI retailers

- **Purpose:** request routing inside every retailer's window so no pickup is missed.
- **Scope:** orders for the three EDI retailers that ship collect via the retailer's carrier.
- **Roles:** 3PL coordinator (R/A), CS rep (I), NetSuite admin (owns the alert).
- **Trigger:** order is allocated; the *Routing due* saved search lists it with its deadline.

Steps

1. Each morning at 8 a.m., open the *Routing due* alert email (orders whose routing deadline is within 72 hours).
2. Get estimated cartons and weight from the allocation (item dimensions on the item record) — don't wait for pack-out.
3. Submit the routing request in the retailer's portal; paste the load ID into the sales order.
4. Send the pickup appointment to the 3PL and confirm receipt.
5. If carton count changes by more than 10% after pack-out, update the routing request the same day.

- **Exceptions:** portal down → email the retailer's transportation desk and screenshot the attempt as proof against a chargeback.
- **Systems:** NetSuite saved search + scheduled email, retailer routing portals, 3PL WMS.
- **KPIs:** routing requested on time ≥ 98%; late-routing chargebacks trending to $0.
- **Revision history:** v0.9, 2026-11-04.

O2C-05 ASN and pre-ship compliance check

- **Purpose:** send an accurate ASN for every EDI shipment and pass the retailer's compliance rules.
- **Scope:** all EDI retailer shipments.
- **Roles:** NetSuite/EDI (automatic send), 3PL (R for carton confirmation), CS lead (A, exception queue).
- **Trigger:** the 3PL's pack confirmation updates the item fulfillment to *Packed — cartons confirmed*.

Steps

1. 3PL confirms cartons, SSCC labels and contents in the WMS; the confirmation flows to NetSuite.

2. NetSuite generates the EDI 856 from the confirmed carton data and sends it via the EDI provider within 1 hour.
3. Pre-ship checklist (3PL): label placement per retailer guide, carton weight limits, pallet height, packing slip.
4. CS checks the EDI provider's acknowledgment (997) dashboard twice daily; rejected ASNs are corrected and resent within 2 hours.

- **Exceptions:** manual ASN send is disabled; a CS lead can release one only with a logged reason.
- **Systems:** NetSuite, EDI provider, 3PL WMS.
- **KPIs:** ASN accuracy 100%; ASN sent before truck departure 100%; labeling chargebacks trending to $0.
- **Revision history:** v0.9, 2026-11-04.

O2C-06 Invoicing, including split shipments

- **Purpose:** invoice every shipment the day it ships.
- **Scope:** all wholesale shipments, including partial and split shipments.
- **Roles:** NetSuite (automatic), AR analyst (R/A for exceptions).
- **Trigger:** item fulfillment status changes to *Shipped*.

Steps

1. NetSuite creates an invoice for the shipped quantities on each fulfillment (bill-as-shipped).
2. EDI customers receive an EDI 810; others get an emailed PDF.
3. AR reviews the *Invoices not sent* saved search each afternoon and resolves failures.
4. Backordered lines invoice automatically when they ship.

- **Exceptions:** customers that require one invoice per PO are flagged on the customer record and invoiced when the last line ships.
- **Systems:** NetSuite, EDI provider.
- **KPIs:** invoice lag ⩽ 0.5 days; invoice rejections ⩽ 1%.
- **Revision history:** v0.9, 2026-11-04.

Change management toolkit

Change plan

Rollout runs in two waves so the low-effort rule changes prove value before the bigger tool launches. Each wave follows the ADKAR stages: awareness, desire, knowledge, ability, reinforcement.

Wave	Changes	Teams affected	Training	Go-live	Hypercare
1	Routing alerts, ASN gating, allocation rules, credit workflow, bill-as-shipped (O2C-02 to O2C-06)	CS, Finance (AR), 3PL coordinator, Sales	Week 1: 60-min session per team + SOP walkthrough	Start of week 2	Weeks 2–3: daily 15-min stand-up, office hours Tue/Thu
2	PO capture tool and new order-entry flow (O2C-01); ATS feed to Shopify	CS reps, E-commerce	Week 4: hands-on sandbox practice, 10 practice orders each	Start of week 5	Weeks 5–6: side-by-side support, daily audit of 10 orders

What changes for each role

Role	Stops doing	Starts doing	What's in it for them
CS rep	Retyping PDF POs; asking Sales on Slack who gets stock	Reviewing drafted orders and validation flags; sending backorder notices from templates	About 210 fewer hours of keying per 6 months across the team; fewer angry follow-ups
CS lead	Arbitrating allocation case by case	Owning the shortage report and overrides with reason codes	Clear authority and an audit trail
Sales	Deciding allocation in DMs	Agreeing tier rules once; answering price queries within 1 day	Key accounts protected by rule, fewer interruptions

Role	Stops doing	Starts doing	What's in it for them
AR analyst	Checking the hold queue twice a day; chasing split-shipment invoices	Handling only workflow exceptions	Most holds auto-release; invoicing is automatic
3PL coordinator	Requesting routing after pack-out	Requesting routing from the daily alert at allocation	Fewer missed pickups and escalations
E-commerce lead	Updating the weekly ATS sheet	Watching feed alerts	Launch weeks without mass cancellations

Launch email, FAQ and training agenda

Launch email (wave 1)

> **Subject:** Starting Monday: faster wholesale orders, fewer chargebacks
>
> Team,
>
> Over the last six months, wholesale orders took 4.8 days on average to ship against our 3-day target, and retailers deducted $187K in chargebacks — 95% of it from late routing requests and early ASNs. None of that is anyone's fault; it comes from steps that depend on someone catching an email or a Slack message in time.
>
> Starting Monday, five of those steps become rules in NetSuite:
>
> - Routing requests come from a daily alert, at allocation
> - ASNs send only after the 3PL confirms cartons
> - Short-stock orders are allocated by a written priority rule
> - Most credit holds release automatically; the rest escalate after 4 hours
> - Invoices are created as each shipment leaves
>
> Your team lead will run a 60-minute session this week, and the new SOPs and a one-page guide are in the process library. Office hours run Tuesday and Thursday for the first two weeks.
>
> Questions or something not working? Reply here or post in #o2c-changes.
>
> [Business Process Manager]

FAQ

- **Can Sales still ask for an order to jump the queue?** Yes, in writing to the CS lead, who can override with a reason code.
- **What if the 3PL confirms cartons late?** The ASN waits; the 3PL's confirmation SLA is part of their service review.
- **Will the credit workflow approve risky orders?** No. Only accounts current on payment with a small overage auto-release; everything else still goes to AR.
- **What if the PO capture tool misreads a PDF?** Nothing posts without CS approval; you correct the draft before approving.

- **Where do I report a problem?** #o2c-changes, or tell your lead; issues are reviewed at the daily stand-up during hypercare.

Training session agenda (60 minutes)

Time	Content
0–10 min	Why: the numbers (4.8 days, $187K) and the goal
10–25 min	Demo of the new flow in NetSuite sandbox
25–45 min	Hands-on: each person processes 3 practice orders, including one exception
45–55 min	Walk through the SOP and quick reference guide
55–60 min	Questions; sign-up for office hours

Quick reference guide: entering a wholesale order

One page, kept at the desk. The full procedure is SOP O2C-01; add screenshots from the sandbox when you build the real version.

Goal: every PO approved in NetSuite within 4 business hours.

1. **Open the queue.** NetSuite → *Draft orders — needs review*. Work oldest first.
2. **Match the PO.** Customer, ship-to, items, quantities, ship date, cancel date.
3. **Check the flags.** Green = approve. Yellow or red = see the table below.
4. **Add what's missing.** Customer PO number and cancel date.
5. **Approve.** The acknowledgment goes to the customer automatically.

Flag	What it means	Do this
Price mismatch < 2%	Customer price is close to ours	Accept and add a note
Price mismatch ≥ 2%	Pricing needs Sales	Send *Price query* template; set *On hold — pricing*
Unknown ship-to	Address not on the account	Email the buyer to confirm; never overwrite an existing address

Flag	What it means	Do this
Inactive item	SKU discontinued	Offer the replacement SKU; wait for buyer approval
Duplicate PO number	Same PO already entered	Don't approve; check with the buyer

Common mistakes: approving before entering the cancel date · typing over an existing ship-to · approving a duplicate PO.

Help: CS lead, or post in #o2c-changes.

Resistance plan and adoption measurement

Adoption is tracked weekly for six weeks after each go-live, using the *Adoption_Tracker* and *KPI_Scorecard* sheets in the workbook. The process is "adopted" when 90% of users pass a 10-order audit sample.

Likely objection	Who	Response	Escalation
"The old way is faster for me."	CS reps	Show their own time study: 12 min/order manual vs ~3 with review; side-by-side support in week 1	CS lead
"Sales will still DM me for priority."	CS reps	Redirect template: "Please send to the CS lead for an override"; CS lead reports DM requests weekly	Business Process Manager → Sales director
"Auto-release will approve bad credit."	Finance	Threshold set by the Controller; monthly review of auto-released orders' payment performance	Controller
"The 3PL won't confirm cartons on time."	CS lead	Make carton-confirmation time part of the 3PL's SLA and weekly service review	Operations manager

Likely objection	Who	Response	Escalation
"The tiers aren't fair to my accounts."	Sales	Tiers agreed with the Sales director before launch; review after one quarter with data	Sales director

Adoption and impact measures

Measure	Source	Target	Checked
Users trained	Training sign-in	100% before go-live	Once
Audit pass rate	10-order sample per user	≥ 90% by week 4	Weekly
Manual ASN sends	NetSuite exception log	0 without reason code	Weekly
Allocation overrides	Reason codes on sales orders	≤ 5% of short orders	Weekly
Slack priority requests	CS lead tally	Trending to 0	Weekly
KPI scorecard (8 KPIs)	Workbook, refreshed from NetSuite exports	Targets on *Assumptions* sheet	Weeks 1, 2, 4, then monthly

Any measure off target two weeks running goes to the Business Process Manager with a proposed fix: more coaching, an SOP update, or a system tweak.